

25NWCV02684 25NWCV02684

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Case Number: 25NWCV02684 Hearing Date: June 30, 2026 Dept: P

CHRON MAYWOOD, LLC

v. CYPRESS MANUFACTURING COMPANY

CASE NO.: 25NWCV02684

HEARING: 06/30/2026 @ 9:30 AM

#17

TENTATIVE ORDER

I.

Defendant Cypress Manufacturing Company's
motion to set aside default is GRANTED.

II.

Defendant's motion to compel arbitration
is taken OFF-CALENDAR.

Moving party to give notice.

There are two motions on calendar: (1) Defendant Cypress
Manufacturing Company (Defendant) moves to set aside default and (2) Defendant
moves to compel arbitration.

Background

On July 24, 2025, Plaintiff Chron Maywood, LLC (Plaintiff)

filed this breach of contract action against Defendant and Does 1 through 10. This action involves independent purchase orders in which Plaintiff sold licensed cannabis products to Defendant and Defendant agreed to pay for the products within 90 days of the deliveries. (Complaint, ¶ 1.) The complaint alleges that Defendant failed to make full payments for its orders when payment became due. (Complaint, ¶ 9.) The complaint asserts four causes of action: (1) breach of contract, (2) common counts, (3) fraudulent misrepresentation, and (4) conversion.

On October 8, 2025, Plaintiff filed a Request for Entry of Default, and on the same date, Default was entered as to Defendant (Default).

On March 12, 2026, the Court granted the parties stipulation to continue the Default Prove-Up Hearing so that the parties can engage in settlement negotiations.

Legal Standard

Pursuant to Code of Civil Procedure section 473, subdivision

(d): "The court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order."

"When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against the party in the action, the party may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action." (Code Civ. Proc., § 473.5, subd. (a).) The motions shall be filed and served no later than the earlier of "(i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered." (Code Civ. Proc., § 473.5, subd. (a).)

The notice of motion "shall be accompanied by an affidavit showing under oath that the party's lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect." (Code Civ. Proc., § 473.5, subd. (b).) "The party shall serve and file with the notice a copy of the answer, motion, or other pleading proposed to be filed in the action." (Code Civ. Proc., § 473.5, subd. (b).)

Request for Judicial Notice

Plaintiff requests the Court take judicial notice of the Statements of Information for Cypress Manufacturing Company filed on October 24, 2024 and on January 27, 2026.

Plaintiff's request for judicial notice is GRANTED pursuant to Evidence Code section 452, subdivision (c), (h).

Discussion

Defendant moves to set aside the Default entered against it on three grounds (1) invalid service of process, (2) Defendant did not have actual notice of this action, and (3) due to excusable mistake/neglect.

Invalid Service of Process

Under Code of Civil Procedure section 416.10, subdivision (b), "[a] summons may be served on a corporation by delivering a copy of the summons and the complaint...[t]o the president, chief executive officer, or other head of the corporation, a vice president, a secretary or assistant secretary, a treasurer or assistant treasurer, a controller or chief financial officer, a general manager, or a person authorized by the corporation to receive service of process." "[S]ection 415.20, subdivision (a), provides that in lieu of personal service on a corporate officer or authorized agent listed in section 416.10, "a summons may be served by leaving a copy of the summons and complaint during usual office hours in his or her office ... with the person who is apparently in charge thereof, and by thereafter mailing a copy of the summons and complaint by first-class mail, postage prepaid to the person to be served at the place where a copy of the summons and complaint were left." (Chinese Theater, LLC v. Starline Tours USA, Inc. [Chinese Theater] (2025) 115 Cal.App.5th 1048, 1057.)

Here, the Proof of Service indicates that Plaintiff served Defendant via substitute service on August 22, 2025 at 20 Quail Run Circle, Salinas, CA 93907 to Danny Garcia, a person in charge. (Proof of Service, 8/28/25.)

Defendant argues that Mr. Garcia has no recollection of receiving service of the summons and complaint. Defendant puts forth Mr. Garcia's declaration stating that he manages portion of Defendant's facility and does not recall being served. (Garcia Decl., ¶¶ 2, 3.) Mr. Garcia states that it is his standard practice to send any documents to Ann Lawrence for handling. (Garcia Decl., ¶ 6.) Mr. Garcia states that he received the Entry of Default and Motion for Entry of Default Judgment on December 30, 2025 which he sent to Ann Lawrence. (Garcia Decl., ¶ 5.) Defendant argues that Mr. Garcia was not a qualified person to be served under Code of Civil Procedure section 416.10 because he was not an executive officer, secretary, treasurer, or general manager. Defendant additionally shows that Plaintiff did not attempt to serve the registered agent for service of process or the person whom the parties' agreements assigned to give notice. (Lawrence Decl., ¶ 21.)

Defendant also argues that Plaintiff attempted service at the wrong location. The Proof of Service indicates that service was effectuated at 20 Quail Run Circle, Salinas, CA 93907, however, the registered agent was listed to be located at 19 Quail Run Circle, Salinas, CA. (Lawrence Decl., ¶ 20.)

Defendant further argues that the process server only made one attempt to personally serve Defendant before substitute service. This argument is not persuasive. Code of Civil Procedure section 415.20, subdivision (a) does not require prior attempts of personal service and specifies that it is an option "[i]n lieu of personal delivery."

In opposition, Plaintiff argues that Defendant refers to Mr. Garcia as a manager of the facility. Plaintiff also relies on the fact that on January 27, 2026, Defendant filed a Statement of Information with the California Secretary of State amending its Agent for Service of Process to Daniel Garcia and Agent Address to 20 Quail Run Circle, Salinas, California. (RJN, Exhs. 1, 2.)

Here, the Court agrees with Defendant that service was improper. Evidence that Mr. Garcia later became a registered agent for Defendant does not change the fact that at the time of service, Mr. Garcia was not a registered agent and the service was effectuated at a neighboring address.

Moreover, the evidence does not show that Mr. Garcia was a

general manager and therefore authorized to receive service. CEO of Defendant, Ann Lawrence, specifically attests that "Danny Garcia is not the 'person in charge' of the warehouse at 20 Quail Run Circle. He manages the manufacturing area but not the whole facility." (Lawrence Decl., ¶ 25.) Mr. Garcia himself states that he manages "the manufacturing portion of the facility." (Garcia Decl., ¶ 2.) "General Manager," "which has not been specifically defined by the Legislature, includes any agent of the corporation 'of sufficient character and rank to make it reasonably certain that the defendant will be apprised of the service made.'" (Gibble v. Car-Lene Research, Inc. (1998) 67 Cal.App.4th 295, 313.) Here, Plaintiff's only evidence that Mr. Garcia was a general manager was the fact that the word "manager," was used in Defendant's moving papers and that he states that his responsibilities included sending legal papers to Defendant's management. Plaintiff neglects to show that Defendant states that Mr. Garcia was a manager of a portion of the facility only. Additionally, Plaintiff does not show how it was aware that Mr. Garcia would apprise Defendant of the service when designating Defendant as a general manager to be served.

Based on the foregoing, the Court finds the Default is void based on the lack of sufficient service of process.

Accordingly, Defendant's motion to set aside the default is GRANTED.

"[C]ompliance with the statutory procedures for service of process is essential to establish personal jurisdiction. [Citation.] Thus, a default judgment entered against a defendant who was not served with a summons in the manner prescribed by statute is void. [Citation.]" (Ellard v. Conway (2001) 94 Cal.App.4th 540, 544.) Because the Court finds the service of process void, the Court does not have jurisdiction to rule on the motion to compel arbitration.

Accordingly, Defendant's motion to compel arbitration is OFF-CALENDAR.